Daiwa Capital Markets Hong Kong Limited

Global Unichip (3443 TT)

Target price: **TWD5,125.00** (from TWD4,525.00)

Share price (4 Aug): **TWD4,145.00** | Up/downside: **+23.6%**

5 | 4 | 3 | 2 | 1

Buy (from Hold)

Upgrading: unleashed capacity adding to growth

- Raise our forecasts on increased capacity support and frugal opex
- AI projects are gross-margin dilutive but scale accretive
- Upgrade rating to Buy (1), with a higher 12M TP of TWD5,125

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What's new: Following our *results memo*, we raise our forecasts, TP and upgrade our rating on Global Unichip (GUC) by 2 notches to Buy (1), thanks to: 1) more capacity unleashed from its key foundry to meet more demand for higher top-line; and 2) more frugal opex control to help offset the extra demand, which is AI-centric and volume-accretive but gross margin (GM) dilutive. Our forecast hikes, together with the recent share price correction on equity market's hefty expectation reset for "silicon inflation", in our view, offer an attractive opportunity for bargain hunting.

What's the impact: **Forecast revisions.** We raise our 2026-28E EPS by 9-19% for GUC to factor in mixed business drivers. On the positive front, revenue run rate appears to be running across its Turnkey (ie. mass-production) and NRE businesses, thanks to customers' active datacentre buildout driven by migration from generative to agentic AI. Based on our market research, for the Turnkey business, we now forecast revenue to more than double YoY this year to TWD54bn for 85% contribution, driven by extra capacity unleashed by its key foundry partner, helping GUC meet more customer demand across AI CPU and accelerators, current and next generations. For NRE, albeit some rebalancing in 3Q26 following a strong uptick a quarter ago, we expect revenue to recover in 4Q26 for meaningful ramps into 2027, driven by new AI projects and AI automotive ship-outs.

Strong top-line and frugal opex … GUC's AI projects are volume accretive but GM dilutive, since the higher value-add parts such as core dies are not done by GUC, which focuses on advanced packaging. That said, by leveraging its integrated "ADS+APT" model (advanced design service, advanced packaging tech), with strategic capacity support from its key foundry, we see scope for GUC to move up the GM vertical.

… helping mitigate lower GM. Another positive factor is, since GUC does not need to commit much R&D relative to projects prior to AI, opex should remain well controlled. While we forecast its GM trajectory to shift into the low 20s over our forecast period (vs. c.30% on average in the past decade before the AI ramp), we expect its operating margin to improve to 14-15% over our forecast period (vs. 7-15% on an annual basis over 2016-25).

What we recommend: We raise our 12M TP to TWD5,125 (previous: TWD4,525), based on a new 4-quarter forward PER of 63x (previous: 75x), justified by 2025-28E EPS CAGR of 60%. We hike our rating 2 notches to Buy (1), with downside risk of less foundry support and margin execution.

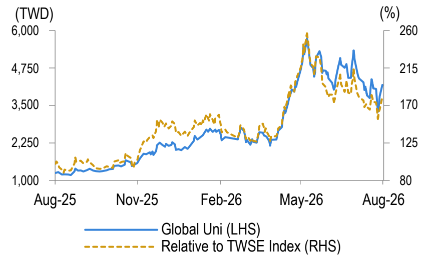
How we differ: Our 2026E EPS is 12% above consensus, likely on our higher AI CPU and accelerator business assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	15.9	31.7	37.0
Net profit change	9.5	18.1	19.0
Core EPS (FD) change	9.5	18.1	19.0

Source: Daiwa forecasts

Share price performance



12-month range	1,160.00-5,730.00
Market cap (USDbn)	17.09
3m avg daily turnover (USDm)	363.73
Shares outstanding (m)	134
Major shareholder	TSMC (34.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	63,063	94,064	120,152
Operating profit (m)	8,876	13,580	17,944
Net profit (m)	7,818	11,680	15,441
Core EPS (fully-diluted)	58.336	87.156	115.218
EPS change (%)	107.4	49.4	32.2
Daiwa vs Cons. EPS (%)	12.2	(27.7)	(34.8)
PER (x)	71.1	47.6	36.0
Dividend yield (%)	0.5	0.7	1.1
DPS	20.0	30.0	45.0
PBR (x)	n.a.	21.6	15.8
EV/EBITDA (x)	55.2	36.3	27.2
ROE (%)	50.5	53.3	50.7

Source: FactSet, Daiwa forecasts

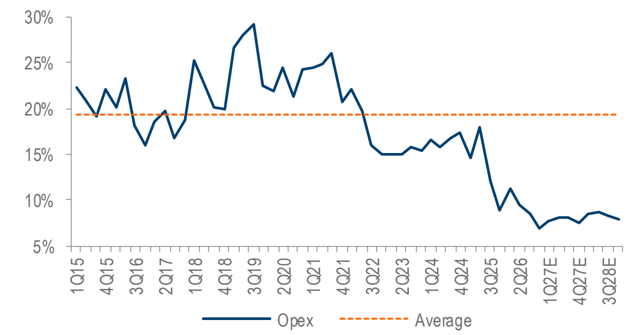
Flash

GUC: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue*	**11,448**	**13,897**	**15,748**	**21,971**	**19,839**	**21,267**	**24,439**	**28,520**	**34,141**	**63,063**	**94,064**	**120,152**
Turnkey (MP)	9,805	11,586	13,707	18,450	17,182	18,204	20,702	24,381	25,736	53,547	80,469	101,625
NRE & others	1,643	2,310	2,041	3,521	2,658	3,063	3,737	4,138	8,405	9,516	13,595	18,527
COGS	-8,335	-10,903	-12,423	-17,066	-15,816	-16,458	-18,824	-21,988	-25,687	-48,726	-73,087	-92,206
Gross profit	3,113	2,994	3,324	4,906	4,023	4,808	5,615	6,532	8,454	14,337	20,977	27,946
Opex	-1,289	-1,318	-1,339	-1,516	-1,528	-1,723	-1,980	-2,167	-4,104	-5,461	-7,397	-10,002
Operating profit	1,824	1,676	1,986	3,390	2,495	3,085	3,635	4,364	4,350	8,876	13,580	17,944
Non-op. gains/losses	101	80	29	26	29	39	44	49	93	236	161	221
Pretax profit	1,925	1,756	2,015	3,416	2,524	3,124	3,679	4,413	4,443	9,111	13,741	18,165
Income taxes	-278	-201	-302	-512	-379	-469	-552	-662	-673	-1,294	-2,061	-2,725
Net profit	1,646	1,555	1,713	2,904	2,146	2,656	3,127	3,751	3,770	7,817	11,680	15,441
O/S (m, FD)	134	134	134	134	134	134	134	134	134	134	134	134
EPS (TWD, FD)	**12.28**	**11.60**	**12.78**	**21.67**	**16.01**	**19.82**	**23.34**	**27.99**	**28.08**	**58.33**	**87.16**	**115.22**
Revenue mix												
Turnkey (MP)	86%	83%	87%	84%	87%	86%	85%	85%	75%	85%	86%	85%
NRE & others	14%	17%	13%	16%	13%	14%	15%	15%	25%	15%	14%	15%
Margin												
Gross	27.2%	21.5%	21.1%	22.3%	20.3%	22.6%	23.0%	22.9%	24.8%	22.7%	22.3%	23.3%
Opex	-11.3%	-9.5%	-8.5%	-6.9%	-7.7%	-8.1%	-8.1%	-7.6%	-12.0%	-8.7%	-7.9%	-8.3%
Operating	15.9%	12.1%	12.6%	15.4%	12.6%	14.5%	14.9%	15.3%	12.7%	14.1%	14.4%	14.9%
Net	14.4%	11.2%	10.9%	13.2%	10.8%	12.5%	12.8%	13.2%	11.0%	12.4%	12.4%	12.9%
Growth (QoQ)												
Revenue	-8%	21%	13%	40%	-10%	7%	15%	17%				
Gross profit	32%	-4%	11%	48%	-18%	20%	17%	16%				
Operating profit	45%	-8%	18%	71%	-26%	24%	18%	20%				
Net profit	42%	-6%	10%	70%	-26%	24%	18%	20%				
EPS (FD)	42%	-6%	10%	70%	-26%	24%	18%	20%				
Growth (YoY)												
Revenue	63%	128%	83%	77%	73%	53%	55%	30%	36%	85%	49%	28%
Gross profit	58%	47%	59%	108%	29%	61%	69%	33%	4%	70%	46%	33%
Operating profit	67%	78%	88%	170%	37%	84%	83%	29%	14%	104%	53%	32%
Net profit	71%	99%	98%	150%	30%	71%	83%	29%	9%	107%	49%	32%
EPS (FD)	72%	100%	98%	150%	30%	71%	83%	29%	10%	108%	49%	32%

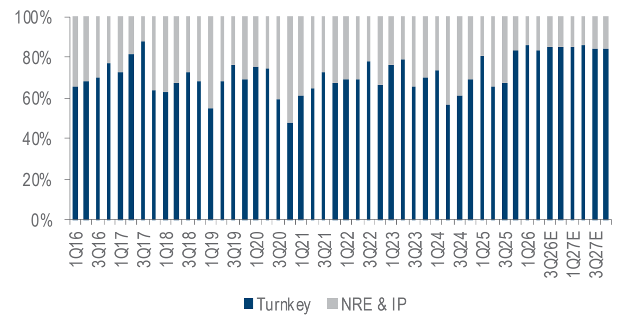
Source: Company, Daiwa estimates and forecasts
*Note: * MP = mass-production, or turnkey revenue; NRE = non-recurring engineering*

GUC: opex ratio trend



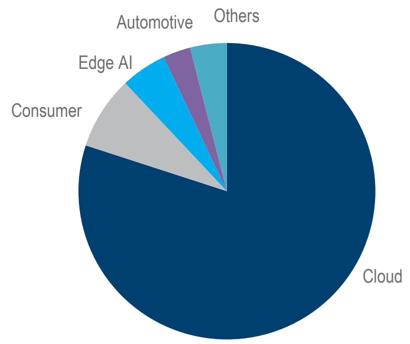
Source: Company, Daiwa forecasts

GUC: revenue mix trend by business type



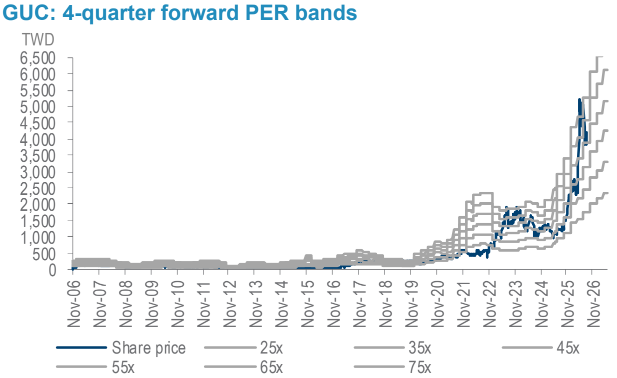
Source: Company, TEJ, Daiwa forecasts

GUC: 1H26 revenue mix by application*



Source: Company
*Note: * Turnkey = mass-production, NRE = non-recurring engineering, IP = intellectual property*

GUC: 4-quarter forward PER bands



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
NRE revenue growth (%)	1.2	35.2	7.1	24.7	(4.8)	18.5	42.9	36.3
Turnkey (MP) revenue growth (%)	18.3	67.4	12.4	(14.9)	59.2	108.1	50.3	26.3
Others revenue growth (%)	(17.8)	139.5	(41.4)	(9.9)	(16.6)	0.0	0.0	0.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
NRE	4,668	6,313	6,763	8,436	8,033	9,516	13,595	18,527
MP (Turnkey)	10,086	16,880	18,982	16,161	25,736	53,547	80,469	101,625
Other Revenue	353	846	496	447	373	0	0	0
Total Revenue	**15,108**	**24,040**	**26,241**	**25,044**	**34,141**	**63,063**	**94,064**	**120,152**
Other income	0	0	0	0	0	0	0	0
COGS	(9,878)	(15,705)	(18,265)	(16,937)	(25,687)	(48,726)	(73,087)	(92,206)
SG&A	(758)	(946)	(891)	(935)	(920)	(1,138)	(1,505)	(1,994)
Other op.expenses	(2,798)	(3,290)	(3,116)	(3,369)	(3,184)	(4,323)	(5,892)	(8,007)
Operating profit	**1,674**	**4,099**	**3,969**	**3,803**	**4,350**	**8,876**	**13,580**	**17,944**
Net-interest inc./(exp.)	9	38	93	150	177	160	161	221
Assoc/forex/extraord./others	58	208	94	110	(84)	76	0	0
Pre-tax profit	**1,741**	**4,345**	**4,155**	**4,062**	**4,443**	**9,111**	**13,741**	**18,165**
Tax	(281)	(634)	(647)	(612)	(673)	(1,294)	(2,061)	(2,725)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**1,460**	**3,710**	**3,508**	**3,451**	**3,770**	**7,818**	**11,680**	**15,441**
Net profit (adjusted)	**1,460**	**3,710**	**3,508**	**3,451**	**3,770**	**7,818**	**11,680**	**15,441**
EPS (reported)(TWD)	**10.896**	**27.688**	**26.176**	**25.749**	**28.129**	**58.359**	**87.191**	**115.265**
EPS (adjusted)(TWD)	**10.896**	**27.688**	**26.176**	**25.749**	**28.129**	**58.359**	**87.191**	**115.265**
EPS (adjusted fully-diluted)(TWD)	**10.856**	**27.466**	**26.020**	**25.584**	**28.129**	**58.336**	**87.156**	**115.218**
DPS (TWD)	**5.000**	**7.000**	**14.000**	**14.000**	**16.000**	**20.000**	**30.000**	**45.000**
EBIT	**1,674**	**4,099**	**3,969**	**3,803**	**4,350**	**8,876**	**13,580**	**17,944**
EBITDA	**2,345**	**4,751**	**4,584**	**4,426**	**5,027**	**9,871**	**15,042**	**19,789**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,741	4,345	4,155	4,062	4,443	9,111	13,741	18,165
Depreciation and amortisation	672	652	615	623	677	995	1,462	1,844
Tax paid	(281)	(634)	(647)	(612)	(673)	(1,294)	(2,061)	(2,725)
Change in working capital	(813)	(4,363)	1,749	1,871	(6,739)	(2,435)	(7,162)	(1,183)
Other operational CF items	2,912	1,595	(1,363)	298	1,149	(300)	(300)	(300)
Cash flow from operations	**4,231**	**1,595**	**4,508**	**6,242**	**(1,143)**	**6,077**	**5,679**	**15,801**
Capex	(92)	(320)	(102)	(471)	(839)	(1,261)	(1,881)	(2,403)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	(1,700)	(27)	(641)	(1,051)	441	(400)	(350)	(350)
Cash flow from investing	**(1,792)**	**(347)**	**(743)**	**(1,522)**	**(398)**	**(1,661)**	**(2,231)**	**(2,753)**
Change in debt	0	0	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(670)	(938)	(1,876)	(1,876)	(2,144)	(2,679)	(4,019)	(6,028)
Other financing CF items	(64)	(69)	(85)	(86)	(82)	0	0	0
Cash flow from financing	**(734)**	**(1,007)**	**(1,962)**	**(1,962)**	**(2,227)**	**(2,679)**	**(4,019)**	**(6,028)**
Forex effect/others	(15)	20	(15)	31	(10)	0	0	0
Change in cash	**1,690**	**261**	**1,789**	**2,790**	**(3,778)**	**1,737**	**(571)**	**7,020**
Free cash flow	4,139	1,274	4,407	5,772	(1,982)	4,816	3,798	13,398

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	7,717	7,629	9,718	13,407	8,732	10,469	9,898	16,918
Inventory	2,789	6,563	4,851	2,794	10,148	12,546	19,492	20,927
Accounts receivable	1,513	2,982	1,967	2,007	3,417	6,949	9,544	11,523
Other current assets	1,609	2,385	2,900	6,271	3,440	3,440	3,440	3,440
Total current assets	**13,628**	**19,558**	**19,436**	**24,480**	**25,737**	**33,405**	**42,375**	**52,809**
Fixed assets	912	646	559	942	1,347	1,713	2,417	3,714
Goodwill & intangibles	318	541	587	438	578	431	(23)	(687)
Other non-current assets	0	442	492	449	781	781	781	781
Total assets	**14,858**	**21,188**	**21,074**	**26,309**	**28,443**	**36,329**	**45,550**	**56,617**
Short-term debt	0	0	0	0	0	34	27	22
Accounts payable	1,850	2,982	1,967	2,238	4,126	7,621	10,000	12,231
Other current liabilities	7,353	9,617	8,986	12,431	10,907	10,146	9,361	8,801
Total current liabilities	**9,203**	**12,598**	**10,954**	**14,669**	**15,033**	**17,801**	**19,387**	**21,053**
Long-term debt	0	0	0	73	169	135	108	86
Other non-current liabilities	392	528	439	273	328	328	328	328
Total liabilities	**9,594**	**13,126**	**11,392**	**15,015**	**15,530**	**18,264**	**19,823**	**21,468**
Share capital	1,340	1,340	1,340	1,340	1,340	1,340	1,340	1,340
Reserves/R.E./others	3,923	6,721	8,341	9,954	11,573	16,725	24,386	33,809
Shareholders' equity	**5,263**	**8,061**	**9,682**	**11,294**	**12,913**	**18,065**	**25,726**	**35,149**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**14,858**	**21,188**	**21,074**	**26,309**	**28,443**	**36,329**	**45,550**	**56,617**
EV	547,539	547,627	545,538	541,922	546,693	544,956	545,493	538,446
Net debt/(cash)	**(7,717)**	**(7,629)**	**(9,718)**	**(13,334)**	**(8,563)**	**(10,300)**	**(9,763)**	**(16,810)**
BVPS (TWD)	**39.275**	**60.153**	**72.245**	**84.279**	**96.355**	**134.859**	**192.047**	**262.389**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	11.3	59.1	9.2	(4.6)	36.3	84.7	49.2	27.7
EBITDA (YoY)	42.9	102.6	(3.5)	(3.4)	13.6	96.4	52.4	31.6
Operating profit (YoY)	73.7	144.9	(3.2)	(4.2)	14.4	104.1	53.0	32.1
Net profit (YoY)	71.8	154.1	(5.5)	(1.6)	9.2	107.4	49.4	32.2
Core EPS (fully-diluted) (YoY)	71.7	153.0	(5.3)	(1.7)	9.9	107.4	49.4	32.2
Gross-profit margin	34.6	34.7	30.4	32.4	24.8	22.7	22.3	23.3
EBITDA margin	15.5	19.8	17.5	17.7	14.7	15.7	16.0	16.5
Operating-profit margin	11.1	17.1	15.1	15.2	12.7	14.1	14.4	14.9
Net profit margin	9.7	15.4	13.4	13.8	11.0	12.4	12.4	12.9
ROAE	30.0	55.7	39.5	32.9	31.1	50.5	53.3	50.7
ROAA	11.9	20.6	16.6	14.6	13.8	24.1	28.5	30.2
ROCE	34.3	61.5	44.7	36.1	35.6	56.7	61.6	58.7
ROIC	n.a.	n.a.	n.a	n.a.	n.a	n.a	97.3	88.9
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	16.1	14.6	15.6	15.1	15.2	14.2	15.0	15.0
Accounts receivable (days)	32.5	34.1	34.4	29.0	29.0	30.0	32.0	32.0
Current ratio (x)	1.5	1.6	1.8	1.7	1.7	1.9	2.2	2.5
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	78.8	64.2	50.6	53.5	62.1	71.1	51.4	51.6
Free cash flow yield	0.7	0.2	0.8	1.0	n.a.	0.9	0.7	2.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1998, GUC is an IC design service provider focusing on AI/HPC, networking, consumer and industrial applications.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	GUC's Board of Directors (BoD) comprises 8 members, including 4 independent directors (50% of the board), which is significantly higher than the regulatory requirement of at least 20%. The Board demonstrates diverse expertise across legal, finance, technology, and business management. The Chairman and the President are different individuals, ensuring separation of roles and enhancing governance independence.
G	Capital management	1	Over the past decade, GUC has maintained a consistently high dividend payout ratio, generally above 60%, and in most years exceeding 80%. In 2025, the company distributed TWD2,144m in cash dividends, reflecting its policy of sustaining or increasing dividend amounts over time. Given GUC's asset-light business model as an IC design service provider, which does not require significant capital expenditure for manufacturing facilities, this high payout ratio is appropriate and aligns with its long-term commitment to shareholder returns.
G	Related party & transaction	1	GUC's sole foundry supplier is TSMC, who is also GUC's largest shareholder. As an IC design service company without onsite production, GUC's relationship with the leading foundry of advanced process nodes provides it a key competitive advantage, in our view.
S	Supply chain management	2	GUC is committed to maintaining long-term partnerships with suppliers and establishing a sustainable supply chain through measures such as promoting its green action policy and concept to the entire supply chain, where all its suppliers are required to follow its Responsible Business Alliance (RBA) regulation. It also periodically conducts supplier audits to ensure the quality of suppliers.
E	Water & wastewater management	1	GUC continues its green living project to reduce water consumption. In 2024, the Company maintained water-saving measures such as rainwater collection systems, automatic sensor faucets, dual-flush toilets, and regular inspections of water equipment. These efforts aim to improve water efficiency and promote conservation across operations.
E	Waste & hazardous materials management	1	As an IC design service provider, GUC does not have in-house manufacturing facilities. It requires its suppliers to use recycled materials for on-site operation and transportation, and reduce the amount of expendable resources being used. In order to promote a paperless office, GUC has established a cloud operating system to reduce the use of paper-based documents.
E	GHG emissions	1	GUC adopts energy-saving measures to reduce greenhouse gas emissions and has set annual electricity conservation targets. In 2024, the Company achieved a 1% reduction in electricity use and increased green electricity to 39% of total consumption. It also continues to develop low-power and high-efficiency IP to help minimise environmental impact.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 5 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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